

“I wasn't sure, so I decided to wait for a throwback. If it threw back and then continued higher, I would buy the stock.”

Three days after the upward breakout, the stock threw back and closed the gap. “All it had to do was move higher ... but it didn't.”

The stock continued lower and, in less than a week, had slipped below the trendline again. “I decided to look elsewhere for a more promising setup.”

Looking back at the stock well over a year later, he saw that it reached a low of 8 and never rose above 27.25, the high just after it pierced the trendline. He realized that sometimes the best trade you can make is none at all.